

Formula 2

$$\text{Simple Annual ROI} = \frac{(\text{Current Market Value} - \text{Cost of Investment})}{(\text{Cost of Investment} * \text{Investment Period})}$$

Let us use a modification of Example 1 to illustrate the concept of annualized simple interest rate returns.

Example 2

I invested in equity NFO two years back at ₹10 per unit (assuming no entry load). Today the NAV quoted for that mutual fund stands at ₹15 per unit. What is the annualized return on my invested amount?

Solution 2: Calculating Annualized Simple ROI

The annualized simple return calculation is based on Formula 2. It is:

$$\begin{aligned}\text{Annualized Simple ROI} &= (15 - 10)/(10*2) \\ &= 5/20 \\ &= 0.25 \text{ (or 25\%)}\end{aligned}$$

So, the case of Example 2 would give 25% annualized simple ROI in our case.

This is definitely simple, and yet a more realistic and comparative method of calculation for returns on a year to year basis.

Now, we are in a position to compare two different investments made over different periods of time. However, there are some limitations here as well.

Do note that the formula for Simple Annual ROI works only if you have invested once at the beginning of a multi-year tenure and get the returns